

Vendor and Repair Network Management Guide

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Audience: Claims operations and adjusters

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1. The Standard Repair Network

Meridian Mutual maintains a network of qualified repair shops (the "Direct Repair Program" or DRP network) that have met defined quality, equipment, and turnaround-time standards. Directing a policyholder to a DRP shop is optional for the policyholder, not mandatory — Policy Wording Part D does not require use of a specific repair shop, and a policyholder may choose any licensed repair facility.

2. DRP Qualification Standards

A shop qualifies for the DRP network by demonstrating: appropriate equipment for the vehicle makes it services, a documented quality-control process, current insurance and licensing, and an acceptable warranty on completed repairs. Qualification is reviewed periodically, not granted permanently.

3. Estimate Consistency

A DRP shop's estimate is expected to be consistent with prevailing local labor and parts rates; an estimate materially above those rates, without a documented reason (specialty parts, unusual damage complexity), is reviewed before being used as the basis for a payout computation, consistent with the "reasonable and necessary" standard applied elsewhere in this corpus for Medical Payments (Coverage Interpretation Notes, Section 7) applied here to repair costs.

4. Non-Network Shops

A policyholder using a non-network shop is not disadvantaged in coverage terms — the payout computation in the Claims Adjudication Guidelines applies identically regardless of which shop performs the repair. The adjuster's role with a non-

network estimate is the same reasonableness review described in Section 3, since there is no pre-established rate consistency to rely on.

5. Total Loss Vendor Coordination

Where a claim is determined to be a total loss under the Total Loss Valuation Methodology, a separate total-loss vendor (distinct from repair shops) provides the comparable-vehicle market survey used to establish Actual Cash Value. This vendor's valuation is a documentation input to the ACV determination, not itself the final figure — an adjuster reviews the survey for reasonable comparables before relying on it.

6. CAT Event Vendor Capacity

During a declared catastrophe event, standard network capacity may be exceeded; the Catastrophe Claims Surge Protocol permits accepting estimates from outside the standard network during the declared period, subject to the same reasonableness review as any other non-network estimate.

7. Vendor Performance Monitoring

Repair-quality complaints, warranty claims on completed repairs, and cycle-time performance are tracked per vendor and inform periodic network re-qualification under Section 2. A single complaint does not disqualify a vendor; a pattern does, following the same "pattern versus isolated incident" reasoning used for SIU indicators (Fraud Indicators Guide, Section 8).

8. Vendor Conflicts of Interest

An adjuster with a personal or financial relationship with a specific repair vendor must disclose that relationship and recuse themselves from directing claims to that vendor, consistent with the general expectation of impartiality underlying the entire adjudication process described in the Claims Adjudication Guidelines.